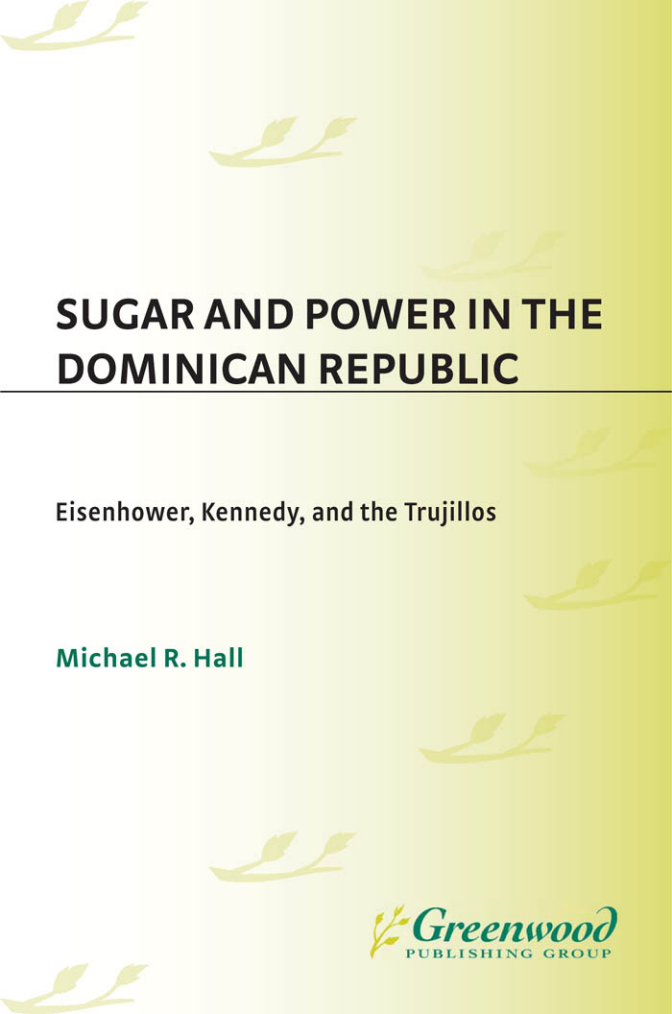


The background of the cover features several stylized sugar cane stalks with green leaves and golden-brown heads, arranged diagonally from the top-left to the bottom-right.

SUGAR AND POWER IN THE DOMINICAN REPUBLIC

Eisenhower, Kennedy, and the Trujillos

Michael R. Hall

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IN THE
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This book is dedicated to my grandparents.

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Preface

This book is an examination of the powerful impact that sugar had on US-Dominican relations between 1958 and 1962. It seeks to understand why Presidents Dwight D. Eisenhower and John F. Kennedy used sugar quota legislation to maintain US hegemony in the Dominican Republic and push Rafael Leonidis Trujillo Molina and his successors along the path toward democracy, and how the Dominican government used the communist threat to US hegemony in the Western Hemisphere to justify its desire for an increased share of the preferential US sugar market.

The first three chapters provide the background necessary to put the 1958–1962 period into historical perspective. Emphasis is placed on the role of sugar in the Dominican political economy since the colonization of Hispaniola and the political and economic aspects of US-Dominican relations from 1900 to 1957.

Drawing heavily upon US and Dominican government documents, the final chapters of this study argue that the Eisenhower administration initiated economic sanctions against Trujillo's authoritarian regime in an effort to gain hemispheric support against Fidel Castro's regime in Cuba. Kennedy expanded those economic sanctions, especially as they pertained to Dominican participation in the preferential US sugar market, in an attempt to liberalize the Dominican political system and stave off the possibility of a Castro-like communist takeover of the Dominican Republic. After Trujillo's assassination on 30 May 1961, the Kennedy administration used threats and promises revolving around the sugar quota to push the dictator's successors along a path toward democracy. Juan Bosch's election on 20 December 1962 and the subsequent allotment of a generous sugar quota indicated the apparent (albeit temporary) success of US policy toward the Dominican Republic.

My interest in US-Dominican relations sprouted in early 1984 when I joined the US Peace Corps and was sent to the Dominican Republic. Since that time, an untold number of people have provided invaluable intellectual guidance and moral

support. A few people, however, merit special mention. In the United States, I wish to thank Gifford Doxsee, Michael Grow, Alonzo Hamby, Judson Kratzer, Harold Molineu, Jeffery Morris, Eric Roorda, and Thomas Walker. In the Dominican Republic, I wish to thank Gineida Castillo, Martica Félix Matos, Sucre Muñoz, Luis Sánchez Noble, Carmen Iris Olivo, Bernardo Vega, and Violeta Wú.

Introduction

Sugar was the primary vehicle of reciprocal manipulation between the United States and the Dominican Republic from 1958 to 1962. A focus on sugar policy, therefore, elucidates the contrasting definitions of national interest that US and Dominican leaders have applied in their dealings with each other. Unlike traditional studies of US-Latin American relations, which approach their topic from a unilateral perspective—focusing on US interests, US actions, US policies, and the overshadowing weight of US influence in Latin America—this book provides a bilateral perspective that gives due attention to the US perspective but attaches equal significance to Dominican interests and ambitions as influential, and occasionally predominant, factors in determining hemispheric relations. In addition, this study is a potential source of insight into US relations with other Latin American nations.¹

The Monroe Doctrine, which sought to isolate Latin America from European influence and expand US political and economic hegemony, conditioned the way that US policy makers thought about the Dominican Republic.² US policy makers, striving to maintain political and economic hegemony, consistently used economic threats and rewards to manipulate Dominican domestic and foreign policy. By exploring the steps leading to the application of economic coercion against the Dominican Republic between 1958 and 1962, and the objectives and concrete impact of that coercion, it is possible to develop some useful generalizations about the role of economic diplomacy as a tool of US foreign policy.

US economic diplomacy invariably fell into two categories. Positive economic diplomacy involved the granting of specific rights or privileges, such as preferential quotas, in order to achieve political or military goals. Negative economic diplomacy involved the withholding or ending of specific privileges, such as participation in preferential quotas, or the imposition of particular constraints, such as punitive taxation.³ During the Cold War, the United States frequently used both positive and negative economic diplomacy. In 1960, the

removal of the Cuban sugar quota and its redistribution to other foreign nations—the so-called Cuban windfall—provided the United States with an enticing economic opportunity to manipulate Dominican policy.

Between 1958 and 1962, the United States played an instrumental role in the transition from authoritarian dictatorship to democracy in the Dominican Republic.⁴ Since sugar was the basis of the Dominican political economy, the principal vehicle of persuasion used by the United States to push the Dominican Republic along the path toward democracy was the promise of a generous preferential sugar quota. The Dominican government, however, also manipulated the United States. Dominican policy makers used the threat of international communism, especially after Fidel Castro's success in Cuba, to increase the US sugar quota, ostensibly to provide the economic resources that would help forestall communist infiltration. In reality, the funds were used by Dominican elites for their own self-serving purposes.

Four events, all of which revolved around the Dominican sugar industry, made 1961 a pivotal year in US-Dominican foreign relations: (1) President Kennedy canceled General Trujillo's participation in the Cuban windfall quota; (2) Trujillo was assassinated and his twelve sugar mills became state property; (3) Dominican President Joaquín Balaguer, in return for the promise of a generous preferential sugar quota, began moving his nation along the road to democracy; and (4) plans were made to lift US economic and political sanctions against the Dominican Republic and enlarge the Dominican sugar quota. In 1961, John D. Barfield, the US Consul in Ciudad Trujillo, stated: "The most significant period in the history of the Dominican Republic vis-à-vis the United States may well be the period 1958 to the present and there is every reason to believe the near future will be even more pregnant with significance for US policy objectives."⁵

The extremely fluid Dominican political situation from Trujillo's assassination on 30 May 1961 to the establishment of a *Consejo de Estado* (Council of State) in January 1962 allowed the sugar quota to be a very effective political tool. The US offer to expand the sugar quota became an increasingly useful incentive to Dominican political change, and likewise the withholding of the sugar quota became a conceivable US deterrent to political digression in the Dominican Republic.⁶ On the other hand, however, Dominican threats that the failure to obtain a generous preferential sugar quota inhibited the Dominican government's efforts to thwart possible communist menaces that might arise at home invariably conditioned US initiatives and responses.

NOTES

1. Howard J. Wiarda and Michael J. Kryzanek, *The Dominican Republic: A Caribbean Crucible* (Boulder, CO: Westview, 1982), p. xiii. According to Wiarda and Kryzanek, the Dominican Republic is "a microcosm of the immense changes sweeping all of Latin America and the Third World, a test case, a crucible of the issues and wrenching conflicts of the development process."

2. Kenneth Coleman, "The Political Mythology of the Monroe Doctrine: Reflections on the Social Psychology of Hegemony," in *Latin America, the United States, and the Inter-American System* ed. John Martz and Lars Schoultz (Boulder, CO: Westview, 1980), p. 95. According to Coleman, "Hegemony—the establishment by a dominant power of limits for the behavior of other actors beyond which direct control by force will be invoked—implies an implied homeostasis; ie, so long as the behavior of the subordinate parties remains within the prescribed limits, rule by force is not invoked."

3. Diane B. Kunz, "When Money Counts and Doesn't: Economic Power and Diplomatic Objectives," *Diplomatic History* 18 no. 4 (fall 1994): 451–62. According to Kunz, the idea of economic sanctions as a substitute for military action is firmly rooted in the US consciousness.

4. Wiarda and Kryzanek, *The Dominican Republic: A Caribbean Crucible*, p. 135. After World War II, the foreign policy issues of US-Dominican relations revolved around anticommunism and, to a lesser extent, the desire to create a model of liberalism and democracy in the Caribbean. After 1958, the United States sought to preserve stability and prevent communism not by aiding authoritarian dictators but by supporting liberal democrats.

5. John D. Barfield to the State Department, 17 April 1961; Decimal File 739.00/4-1761, Box 1637; Dominican Republic, 1960–1963; General Records of the Department of State, Record Group 59 (hereafter RG 59), US National Archives, Washington, DC (hereafter NA).

6. According to Jonathan Hartlyn, "Although it did not last, democracy advanced further in the country at this time due to the role of international factors than one would have expected based on the country's past history and the legacies of the Trujillo era." See Jonathan Hartlyn, *The Struggle for Democratic Politics in the Dominican Republic* (Chapel Hill: University of North Carolina Press, 1998), pp. 68–69.



Dominican Sugar-Producing Regions, 1957

Chapter 1

The Role of Sugar in the Dominican Political Economy to 1957

Three factors determined the evolution of the sugar industry in the Dominican political economy: (1) monetary importance in the national economy, (2) ownership of the means of production, and (3) the political role of sugar. This evolution occurred within five distinct time periods. Until 1869 the sugar industry was dominated by Dominican *criollos* (Europeans born in America) and occupied a minor role in the Dominican political economy.¹ Between 1870 and 1899 the Dominican sugar industry was controlled by Cuban, Spanish, and Italian entrepreneurs. Taxes on sugar exports were an important source of revenue for the Dominican government. By 1900 sugar was not only the chief Dominican export product, it was also the center of Dominican society, the nucleus around which all Dominican political and economic activity rotated.² US capital dominated the Dominican sugar industry from 1900 to 1929. Taxes on sugar exports were the principal source of revenue for the Dominican government.³ Not only did the country count heavily on sugar exports to provide foreign exchange, but internal trade and employment were influenced widely by the international market, which determined how much—and at what price—Dominican sugar could be sold abroad. Although US capital continued to dominate the Dominican sugar industry from 1930 until 1947, authoritarian dictator General Rafael Trujillo, who represented a social shift in the Dominican Republic's social hierarchy, used sugar export taxes to implement an economic program of import substitution industrialization. Finally, between 1948 and 1957, Trujillo, in an attempt to consolidate his control over the Dominican political economy, worked to monopolize the Dominican sugar industry. By 1957, Trujillo was the undisputed owner of almost three-quarters of that industry.⁴

To understand the history of Dominican sugar, however, one must understand the less-than-illustrious history of the Dominican Republic.⁵ To comprehend what appears to be chaos in modern Dominican history, former US ambassador to the Dominican Republic John Bartlow Martin suggests, "one should know the lunacy that went before."⁶